In adopting rule 30e-3, the Commission understood that it would reduce the allocation of resources to printing and mailing of reports, depending on how many funds choose to rely on the rule. At that time, the Commission estimated that annual printing and mailing costs (inclusive of processing fees) for shareholder reports were approximately $20,707.33 per fund absent rule 30e-3.[740] Based on the current number of funds, the aggregate costs would be approximately $257.0 million.[741] At the time of adoption, the Commission estimated that 90 percent of funds would choose to rely on rule 30e-3. Based on the current number of funds, this would result in reduced printing and mailing costs for funds of approximately $231.3 million.[742] Under our current estimate of the proportion of funds relying on rule 30e-3, which is 86%, the annual savings in printing and mailing costs for funds will decline from approximately $231.3 million to $221.0 million.[743] The estimated aggregate printing and mailing costs for funds' shareholder reports in 2021 depends on whether and how fully funds achieve the projected savings for rule 30e-1 by that year. We expect the aggregate printing and mailing costs (inclusive of processing fees) to range between $36.0 million and $257.0 million in 2021, without the proposal, depending on how fully funds have realized the projected savings from reliance on rule 30e-3.[744] For example, we would expect the costs to

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740 *See id.* at n.353.

741 $20,707.33 x 12,410 funds = $256,977,965 = $257.0 million.

742 *See* Rule 30e-3 Adopting Release, *supra* footnote 14, at n.372 and accompanying text (using an approach to estimate gross aggregate annual savings of printing and mailing costs as the aggregate annual printing and mailing costs multiplied by the percentage of funds expected to rely on rule 30e-3). $256,977,965 x 90% = $231.3 million.

743 $256,977,965 x 86% = $221,001,050.

744 $256,977,965 - $221,001,050 = $35,976,915.

be closer to the lower end of the range if most or all of the 86% of funds are able to rely on the rule to transmit annual and semi-annual reports in 2021, while we would expect the costs to be closer to the higher end of the range if many of these funds are still subject to rule 30e-3's transition period for some or all of 2021.[745]

A summary of the delivery scenarios that would occur without the proposal, along with typical delivery outcomes, appears in table 7 below. As indicated, the baseline delivery outcomes vary across funds and shareholders, according to their expressed preferences and circumstances:

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[745] *See* rule 30e-3(i) (generally requiring funds to include required statements about rule 30e-3 in their prospectuses and shareholder reports for a period of two years prior to relying on the rule).

Table 7. Delivery scenarios without the proposal (baseline).

Table 7.1 – Semi-annual report delivery, baseline – by fund and shareholder choice			
Fund relies on rule 30e-3?	**Shareholder requests electronic delivery**	**Shareholder requests paper delivery**	**Shareholder makes no delivery election**
Yes	Email (with link to 116 page report)	Paper mail (116 page) report	Paper notice (1 page) with link to 116 page report
No	Email (with link to 116 page report)	N/A[1]	Paper mail (116 page) report

Table 7.2 – Annual report delivery, baseline – by fund and shareholder choice			
Fund relies on rule 30e-3?	**Shareholder requests electronic delivery**	**Shareholder requests paper delivery**	**Shareholder makes no delivery election**
Yes	Email (with link to 134 page report)	Paper mail (134 page) report	Paper notice (1 page) with link to 134 page report
No	Email (with link to 134 page report)	N/A[1]	Paper mail (134 page) report

Table 7.3 – Annual prospectus update delivery, baseline – by fund and shareholder choice[2]		
	Shareholder requests electronic delivery?	
Fund uses summary prospectus (rule 498)?	***Yes***	***No***
Yes	Email with link to 8 page summary prospectus update, annual	Paper mail (8 page) summary prospectus update, annual
No	Email with link to 128 page statutory prospectus update, annual	Paper mail (128 page) of statutory prospectus update, annual

Table 7.4 – Other prospectus update delivery, baseline – by fund and shareholder choice			
		Shareholder requests electronic delivery?	
Fund uses summary prospectus (rule 498)?		***Yes***	***No***
Yes	Email with link to summary prospectus update or sticker (sometimes may be combined with shareholder report delivery)	Paper mail of summary prospectus update or sticker (sometimes may be combined with shareholder report delivery)	
No	Email with link to statutory prospectus update or sticker (sometimes may be combined with shareholder report delivery)	Paper mail of statutory prospectus update or sticker (sometimes may be combined with shareholder report delivery)	

Notes:
1. "N/A" reflects the fact that, if a fund does not rely on rule 30e-3, paper delivery of the full report is the default delivery mechanism. If the fund relies on rule 30e-3, however, delivery of a paper notice with a link to the online location of the shareholder report becomes the default, as the table indicates.
2. This table assumes that the fund delivers annual prospectus updates to all shareholders because we understand the majority of funds follow this practice. If a fund instead delivered prospectuses only to those shareholders who

purchase additional shares of the fund during the year, receipt of a prospectus may not be an annual occurrence for some shareholders.

5. Investor Use of Fund Disclosure

Based on responses to the Fund Investor Experience RFC and results of prior investor testing and surveys,[746] the Commission understands that investors find that the information currently provided to them is overly long and difficult to understand. Investors have expressed concern about the length of the materials.[747] Many investors have also suggested that fund disclosure is too complex or technical.[748] For example, one survey reported that 67% of surveyed investors found shareholder reports difficult to understand, and another found the number to be higher, 72%.[749] Some investor surveys suggest that many investors review little, if any, of funds' shareholder reports.[750]

In addition, some investors have expressed concern about the fee information that funds disclose.[751] Many investors responding to the Fund Investor Experience RFC expressed the view that funds do not clearly disclose their fees and expenses. This may indicate that they do not make effective use of the fee information that is provided under the current

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746 *See supra* Section I.B.

747 *See, e.g.*, Rojas Comment Letter ("I receive too much information. It is too long and too complex.); Franco Comment Letter; Nevin Comment Letter; Woods Comment Letter; David Comment Letter (stating that fund disclosures are too overwhelming to be useful).

748 *See supra* footnotes 32 through 36 and accompanying text.

749 *See* Broadridge Comment Letter I (stating that 72% of surveyed investors that review mutual fund or ETF disclosures do not find them easy to understand); ICI Investor Testing (stating that 67% of surveyed mutual fund investors who recalled receiving fund shareholder reports indicated that the reports are difficult to understand).

750 *See supra* footnote 40 and accompanying text.

751 *See supra* Section I.B.2.

requirements. Several of these investors expressed support for simplifying fee presentations by, for example, reducing the number of line items in the prospectus fee table or providing only one "bottom-line" number showing the fees associated with an investment in the fund. Some commenters suggested that funds should disclose fees in terms of dollars rather than percentages to make the disclosure more understandable to investors.[752] Some commenters have suggested that disclosing AFFE in the fee table may confuse investors because the fee table does not reflect similar indirect expenses of the fund and combining the fund's operating expenses with indirect AFFE does not align with the fund's financial statements.[753]

Investors also indicate that prospectus risk disclosures are difficult to understand,[754] and this may mean that such disclosures currently are difficult to incorporate into investment decisions. For example, many investors responding to the Fund Investor Experience RFC suggested that disclosure about a fund's risks is too long. Some investors suggested that funds should order risks by importance or otherwise better focus their risk disclosures.

6. Fund Advertisements

The Commission rules on investment company advertising apply to all registered investment companies and BDCs. These rules largely focus on how certain types of funds present their performance in advertisements. This focus reflects the Commission's acknowledgement that investors use information about performance to choose among funds and concern that, absent requirements to standardize how funds present performance in

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752 *See supra* footnote 63 and accompanying text.

753 *See, e.g.*, Chapman and Cutler Fund of Funds Comment Letter; Invesco Fund of Funds Comment Letter.

754 *See supra* Section I.B.2.